

PRICING STRATEGIES AND SALES TOOLS

DAY 2



FUNDAMENTALS OF COSTING AND PRICING

LESSON FIVE

DISCOUNTS

SOME MORE THOUGHTS ON PRICING

LESSON FIVE:

DISCOUNTS

An Achilles heel of the SME and SMME sector – too often we create a climate where customers EXPECT a discount, because we are so quick to offer one.

The crux – discounting must be strategic and must also be a win-win arrangement – I give, you give.

The Effects of Discounting

The effects of discounting can be quite dramatic, and very unexpected. For instance if you were selling a product with a gross profit of 30% and, in order to increase customer sales or beat the competition, you decided to offer a discount of 10%, how many extra customers (as a percentage) do you think you would need to make the same profit overall?

The answer is at least 50% more customers!!

Did you guess correctly - a bit of bad luck if you didn't? Unfortunately, you can't afford bad luck in business. In fact, you may be better off putting the price up slightly, losing some of your core customers and making the same profit (after all, that's what you're in business to do, isn't it?)

Many new businesses assume that if they sell at less than the competition, they will take their customers away. This is rarely true and increasing your price, or charging the same but offering a bit more, is often a more sustainable way of competing profitably.

Consider the following when considering a discounting strategy:

- Discounting should always be seen as a two-way street & negotiating tool
- Can the competition discount for longer than you?
- Will your core customers increase dramatically if you discount? You may be well advised to charge the same and rather offer a higher level of service
- If you increased your price by just 5% you could afford to lose 15% of your customers and still make the same profit!

When is it Appropriate to offer a Discount?

Of course, there are certain scenarios and strategies where offering a discount is a reasonable and acceptable business decision. These include:

- Quantity Discounting, where the order will be significantly increased as a result of the discount being offered. However, do not offer a quantity discount off the bat, use it as a negotiating tool. Similarly, if it costs you exactly the same to produce one or one hundred of an item, you need to think before offering a quantity discount as it is your direct profit being discounted.
- Where a retailer is working according to set price points. Woolworths, Mr Price etc. will TELL YOU what they want to pay for an item and you need to comply. In this instance, you are well within your rights to look at simplifying or redesigning the product or service so that it is a win-win situation for all parties – we call this product engineering.

- In instances where the customer has been inconvenienced or otherwise prejudiced as a direct result of negligence, under-delivery, bad packing or short delivery on one of your orders/services and wants a discount and not a refund or credit note.
- In a situation where you are trying to penetrate or break into a particular market and price is the only barrier preventing you from doing so.



SOME MORE THOUGHTS ON PRICING

What if your price is not competitive?

If you have done your market and competitor research and find that your prices are unrealistic, the following should be considered:

- Can you work more effectively and efficiently, by developing/improving your admin or production systems, or by simplifying your processes?
- Can you decrease your overheads or running costs?
- Are there other potential income streams that could contribute towards your overheads or running costs?
- Can you focus on a niche market that would be willing to pay more?
- Can you add value without adding cost, as in offering a faster turnaround time? For such an offering to have a positive impact, it is important that the customer knows about it and values it.
- Can you **re-engineer** your product or service and make it more competitive?

Can you think of any other strategies that you can try to make your prices work when they are too high based on your costing & required profit levels?

Factors that can affect your pricing strategy and the price you are able to charge for your product or service:

Apart from the materials used or the labour hours that go into the delivery of a product or service, there are several factors that can also impact your pricing strategy:

Company Profile

The higher your company profile, experience and brand recognition, the more you can charge.

Objectives

Are your objectives to penetrate a market, beat the competition, establish yourself as a luxury brand? These will affect your pricing significantly.

Client dynamics

If you really want to work with a certain client (such as a big corporate or well-known brand) you might go lower in price; conversely, if you are expecting a difficult project or a slower payer, then you might want to increase your price.

Expect negotiation

People often add 10% to their initial quoted price so that they can give a discount or negotiate down, as some clients might expect this. The jury is out on this, it depends on the client.

Product/service Engineering

Sometimes, your client gives a price that they are willing to pay and you let them know what you can do for that fee. This may entail simplifying your product or service to come into price.

Job satisfaction

Sometimes we take on work that is not the most profitable, but provides excellent experience and exposure to new thinking. Other times, we take on profitable work that is mind-numbingly boring, soul-destroying or even dangerous. Always weigh up the pros and cons.

Pricing Services

In some organizations (such as a repair shop or a hairdresser), a consistent hourly rate will be charged regardless of which employee actually works on the job; in other organizations, the rate may vary by employee. For example, in an accounting firm, the rate charged for a junior accountant's time will generally be less than the rate charged for an experienced senior accountant, or for a partner.

There are a number of different ways of setting prices in a service environment, and it may be useful to quickly look at some of them here:

Per hour – you determine an hourly rate and charge according to number of hours a given service takes to deliver. You can set different hourly rates for different tasks, different rates based on who does the work, as well as the complexity of the work.

Per job – you set a fixed price for a certain job, e.g. R500 per game drive, R150 per airport transfer, R2500 per workshop.

Retainer – client pays you a fixed monthly retainer to deliver services. This is common in the IT industry, legal and HR fields, as well as on some maintenance-related projects.

Tips on Pricing Services

1. Test Your Prices with Existing Audiences

“Anytime we roll out a new product or service, we always test the price with a few — we usually limit the number of lists to three — different existing segmented email lists that signed for that specific topic or a related offer to determine the best pricing model.” ~ Kristin Kimberly Marquet, Creative Development Agency, LLC

2. Let the Market Price Your Product

“Pricing can be such a sore spot for many entrepreneurs, but it shouldn’t be. Few realize that the value is in the eye of the buyer, which means you’ll always make the most money leaving the price up to the customer. Go have conversations — test prices, ask whether buyers would buy within a range of prices, and explore why they would or wouldn’t. These easy conversations will make you money.” ~ Peter Kozodoy, GEM Advertising

3. Start High

“It’s easier to come down in price than to go up. So your first step should be to generate a solid ballpark price. You can look at similar products or services to do that, then do some testing or polling. Then I would recommend to start on the high end of that ballpark or even a bit above it. If you need to have a sale later on, customers will appreciate that.” ~ Nicolas Gremion, Free-eBooks.net

4. Do Competitive Research

“For us, it all boils down to research. Learn what the market is paying for your new service and learn what your competitors are charging for that service. Once you have that data, you can uniquely position yourself based on your price point, quality and offering.” ~ Joel Mathew, Fortress Consulting

5. Figure Out Your Market Positioning

“The most important thing when you price for a service, tool or product is how you want to position yourself in the market. Once you determine that, consider the price your competitors are charging for it and the number of expected achievable customers. Then, ask if are you adding a value compared to competitors and if you can diversify pricing by creating packages.” ~ Michael Hsu, DeepSky

6. Start At Twice Your Costs

“Start with a basic model work backward. First, figure out your costs, then aim at a price point of 2C, or twice your costs. Later, review the marketplace to see what competitive offers and then adjust accordingly. Hopefully, your operation is tight enough that you will be able to compete on value.” ~ Nicole Munoz, Nicole Munoz Consulting, Inc.

7. Conduct A/B Tests

“For us, we’ve found that continuous A/B testing is the best way to continue increasing conversions on our pricing page. Experiment with a 14-day free trial, different packages, and monthly pricing versus yearly pricing. For example, if churn is an issue for your business, a yearly price could help reduce your attrition rate, but you’ll only find out through testing.” ~ Syed Balkhi, WPBeginner

Financial proposal/quote for design and/or consultation-based services

For each new service-based project a financial proposal or quote should be produced and include:

- A brief and terms and conditions with your proposal
- The financial terms & conditions – payment schedules, sundries & expenses etc
- A request to the client to sign off each stage and for you to invoice them separately for each stage
- An explanation of each stage of the project
- What the client will receive at the end of each stage and the final outcomes
- How long each stage will take
- How much each stage will cost
- How any unforeseen circumstances – such as extras – will be charged for
- Include how long this quote is valid for
- Ultimately, good communication between you and the client will avoid problems and late or non-payments.

